



Impact and Allocation Report 2025

Sustainable Financing at Arion Bank

April 2026

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Introduction

Arion Bank has financed green loans to retail and corporate customers under its Green Financing Framework since 2021. The framework has been invaluable in issuing green bonds and raising green deposits and also augmenting the Bank's range of environmentally friendly products. In 2024, the Bank completed an extensive overhaul of the framework, and a new Sustainable Financing Framework was published in August the same year. Lending to projects in the circular economy is now incorporated into the framework, as are projects which have a particularly positive impact on society.

The goal is for 20% of the Bank's total loans to be classified under the Sustainable Financing Framework by 2030. At the end of 2025, sustainable lending represented approximately 12.86% of the Bank's total loan portfolio, of which green loans accounted for 10.04% and loans classified under social categories, those with positive social impacts, accounted for 2.82%. The decrease in the book value of sustainable loans between 2024 and 2025 is primarily explained by the repayment of a major loan during 2025.

To reach the goals of the Paris Agreement, to keep global warming below 1.5 degrees Celsius, substantial amounts of capital will need to be directed towards projects and initiatives that reduce or eliminate greenhouse gas (GHG) emissions, support the transition from fossil-based fuels and diminish the adverse impact to the environment. Arion Bank's sustainability journey focuses on strengthening sustainability and climate-related initiatives with the aim of reducing negative environmental impacts and promoting green solutions.

The Bank is committed to helping Iceland meet its obligations under the Paris Agreement and other domestic and international environment and climate treaties. We support Iceland's ambitious plans to reach net-zero emissions by 2040, and the Bank is aiming to reach net-zero the same year. We have set ambitious climate targets in areas where we have the greatest environmental impact, including our own operations, the lending portfolio, and the Bank's own investments. Further details on Arion Bank's sustainability commitments are presented in the Annual and Sustainability Report 2025.

Sustainable finance for the future

Projects eligible for green loans include energy savings, the transition to greener transportation, green certified buildings, sustainable fisheries, renewable energy, waste and wastewater management, sustainable forestry and agriculture and circular economy. Projects eligible under the social categories aim at improving accessibility to housing, education, healthcare or promote job creation. The Bank has thereby pledged to use the proceeds it obtains on the credit markets through the financing framework for green loans and projects with a positive social impact to businesses and individuals as defined in the framework.

Arion Bank currently has five outstanding green bond issues, two of which were issued in 2025. We have yet to issue designated social or sustainable bonds and therefore all impacts presented in this report refer to projects under the green categories. We are looking forward to issuing sustainable bonds and will report on the positive societal impacts accordingly.

The framework has received a positive second-party opinion (SPO) from ISS Corporate, which evaluated the quality of the framework in terms of its contribution to the UN Sustainable Development Goals (SDGs) and the eligibility of projects according to the technical screening criteria of EU Taxonomy (assessment of substantial contribution to climate change mitigation). The review confirms that the framework is aligned with leading international standards, including ICMA and LMA standards in terms of use of proceeds, project evaluation, proceeds management, and reporting. The financed projects are positively aligned with the UN SDGs, contributing to climate mitigation, biodiversity protection, and social inclusion.

The SPO concludes that Arion Bank's framework is consistent with its sustainability strategy and demonstrates a high level of environmental and social ambition. Deutsche Bank acted as ESG Structurer for Arion Bank on the Sustainable Financing Framework





Sustainable Financing Framework

Arion Bank's Sustainable Financing Framework

The framework is based on the latest versions of the Green Bond Principles 2021 (with June 2022 Appendix), the Social Bond Principles 2023, the Sustainability Bond Guidelines 2021 published by the International Capital Markets Association (ICMA) and the Green Loan Principles as well as the Social Loan Principles published by the Loan Market Association (LMA) in 2023. When defining criteria for eligible assets that may have an impact on the marine environment, we consider the Guidance for Blue Finance, released by ICMA.

The Framework describes the characteristics and process for the issuance of Arion Bank's 'Sustainable Financing Instruments', which include, but are not limited to, (Covered) Bonds, Loans, Commercial Papers ('CPs'), Repurchase Agreements ('Repos') and Deposits in Green, Social or Sustainable Format.

The framework consists of the following core components:

1. Use of proceeds
2. Process for project evaluation and selection
3. Management of proceeds
4. Reporting
5. External review, including post issuance verification.

[Arion Bank's Sustainable Financing Framework](#)

[Second party opinion from ISS Corporate](#)

Use of proceeds

Arion Bank strives to reach the full allocation of proceeds within 24 months after each issuance. An amount equivalent to the net proceeds of any Arion Bank Sustainable Financing Instruments will be used to finance or re-finance project finance loans, general corporate loans or any equity or own investments in tangible or intangible assets which support the transition to a low-carbon economy, social development and contribute to the SDGs.

To be eligible, the loan or investment must fall in at least one of the eligible categories. In the case of general corporate loans, at least 90% of the turnover of the corporation needs to be attributable to eligible sectors and fulfil the respective requirements. Sustainable fisheries that have a 90% or higher proportion of their catch from MSC certified species have been categorized as eligible under the respective category.

Updated methodology on green residential housing

An updated methodology for calculating which kind of housing classifies as green was established in connection with the Sustainable Financing Framework. The report was prepared by the engineering firm COWI on behalf of the Bank. COWI (formerly Mannvit) previously published the first report of this kind in Iceland in relation to Arion Bank's Green Financing Framework, and it was a vital contribution to the discourse on green buildings on the domestic property market.

[COWI's report on green mortgages](#)



Project categories

Overview of Arion Bank’s Sustainable Financing Framework project categories and eligibility criteria



Sustainable marine value chains and marine ecosystem management

Described as financing related to sustainable marine fisheries, land-based sustainable aquaculture operations, seafood supply chain, protection, conservation, and restoration of marine ecosystems. Carbon negative microalgae production in Iceland is eligible if it meets stringent requirements.



Sustainable forestry and agriculture

Financing related to certified forest carbon projects, sustainable forestry, agriculture or horticulture, including investments in the areas of sustainable forest management and sustainable forestry assets or the promotion of measures to reduce GHG emissions in the respective sectors. Greenhouses using renewable energy for heating and grow lights fulfill this criteria.



Sustainable waste and wastewater management

Described as financing related to technologies, processes and associated infrastructure supporting waste prevention, waste reduction, waste recycling as well as sustainable wastewater management and related infrastructure.



Circular economy adapted products, production technologies and processes

Eligible assets related to the design and introduction of reusable, recyclable and refurbished materials, components and products, circular tools and services.



Renewable energy

Eligible assets related to renewable energy power (geothermal, hydro-, wind, solar and ocean power) and manufacture and utilization of biogas.



Clean transportation

Described as financing related to sustainable passenger and freight transport, including vessels and related sustainable infrastructure. Zero direct tailpipe CO₂ emission vehicles are automatically eligible while other vehicles with emission intensity under 50g CO₂/km are eligible until the end of 2025.



Affordable housing

Eligible assets related to supporting housing bodies, that enable the provision of affordable housing in accordance with accredited or registered affordable housing definitions and loans for first-time buyers. Target group includes tenants meeting the criteria in Icelandic regulations based on the definition of affordable housing and first-time buyers.



Education

Described as financing related to increasing access to quality and accessible education and vocational training and to quality, safe and affordable student housing. Target group includes students and adults benefitting from vocational training (immigrants).



Green buildings

Financing the construction of energy efficient new buildings, operation of existing buildings or renovation of existing buildings (with a minimum energy efficiency upgrade) in the commercial or residential real estate sector. Buildings that meet certain certification standards or fall under the green residential housing methodology by COWI are included.



Energy efficiency

Eligible assets include the construction, implementation, maintenance and operation of facilities, infrastructure or appliances that reduce the use of energy or GHG emissions. Data-driven solutions for GHG emission reduction and efficient data centres also fall under this category.



Healthcare

Described as financing related to increasing access to quality, timely and accessible healthcare, including for elderly and people with specific health conditions. Target group includes the general public, individuals with specific physical and/or mental conditions, including cognitive deficit(s), elderly people, and individuals in need of rehabilitation services.



Employment generation and alleviate unemployment

Described as financing aimed at employment generation, and programs designed to prevent and/or alleviate unemployment and inequality stemming from multiple sources including socio-economic crises, through the potential effect of SME financing and microfinance. Target group includes female and first-generation immigrant SME owners, and SMEs negatively impacted by crises.

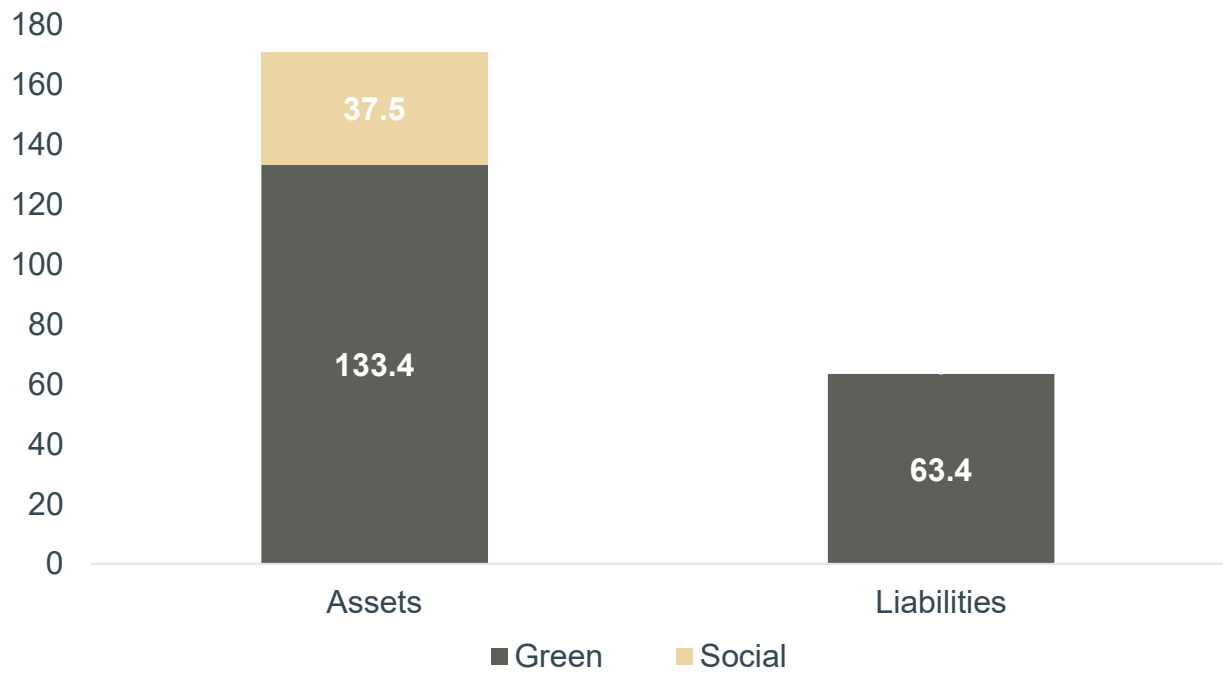


Green bonds

Arion Bank has over the years built up a constructive relationship with investors in the international and domestic debt markets. The Bank is proud to offer green bonds to its investors. Through these instruments, the Bank can, together with its investors, promote and support the long-term development of sustainable solutions by financing or refinancing green projects.

Since Arion Bank first established a Green Financing Framework in 2021, the Bank has regularly issued green bonds, both domestically and internationally. In 2025, the Bank issued green bonds in Norwegian kroner and Swedish kronor based on the new Sustainable Financing Framework. The Bank’s liabilities in terms of sustainable financing in bonds and deposits amounted to ISK 63.4 billion at year-end.

Sustainable assets and liabilities at the end of 2025
ISK bn



ISK Green Bond Dec 2021		SEK Green Bond Oct 2024		NOK Green Bond Oct 2024		SEK Green Bond June 2025		NOK Green Bond June 2025	
Issuer	Arion Bank hf.	Issuer	Arion Bank hf.	Issuer	Arion Bank hf.	Issuer	Arion Bank hf.	Issuer	Arion Bank hf.
ISIN	IS0000033710	ISIN	XS2915465012	ISIN	XS2915465442	ISIN	XS3086405407	ISIN	XS3086358721
Type	Green Senior Unsecured	Type	Green Senior Unsecured	Type	Green Senior Unsecured	Type	Green Senior Unsecured	Type	Green Senior Unsecured
Size	ISK 5.76bn	Size	SEK 500m	Size	NOK 500m	Size	SEK 900m	Size	NOK 600m
Tenor	5 year	Tenor	3 year	Tenor	3 year	Tenor	2.5 year	Tenor	2.5 year
Issue date	22 December 2021	Issue date	8 October 2024	Issue date	8 October 2024	Issue date	4 June 2025	Issue date	4 June 2025
Maturity date	22 December 2026	Maturity date	20 October 2027	Maturity date	20 October 2027	Maturity date	4 December 2027	Maturity date	4 December 2027
Issue rating	-	Issue rating	-	Issue rating	-	Issue rating	-	Issue rating	-
Spread	-	Spread	3m STIBOR + 120 bps	Spread	3m NIBOR + 120 bps	Spread	3m STIBOR + 120 bps	Spread	3m NIBOR + 117 bps
Coupon	4.7% Fixed	Coupon	Floating STIBOR + 120 bps	Coupon	Floating NIBOR + 120 bps	Coupon	Floating STIBOR + 120 bps	Coupon	Floating NIBOR + 117 bps
Listing	Reykjavik	Listing	Luxembourg SE	Listing	Luxembourg SE	Listing	Luxembourg SE	Listing	Luxembourg SE

Sustainable assets at the end of 2025

170.8bn ISK

Sustainable assets relative to liabilities

269%

Available bond issuance capacity

107.4bn ISK

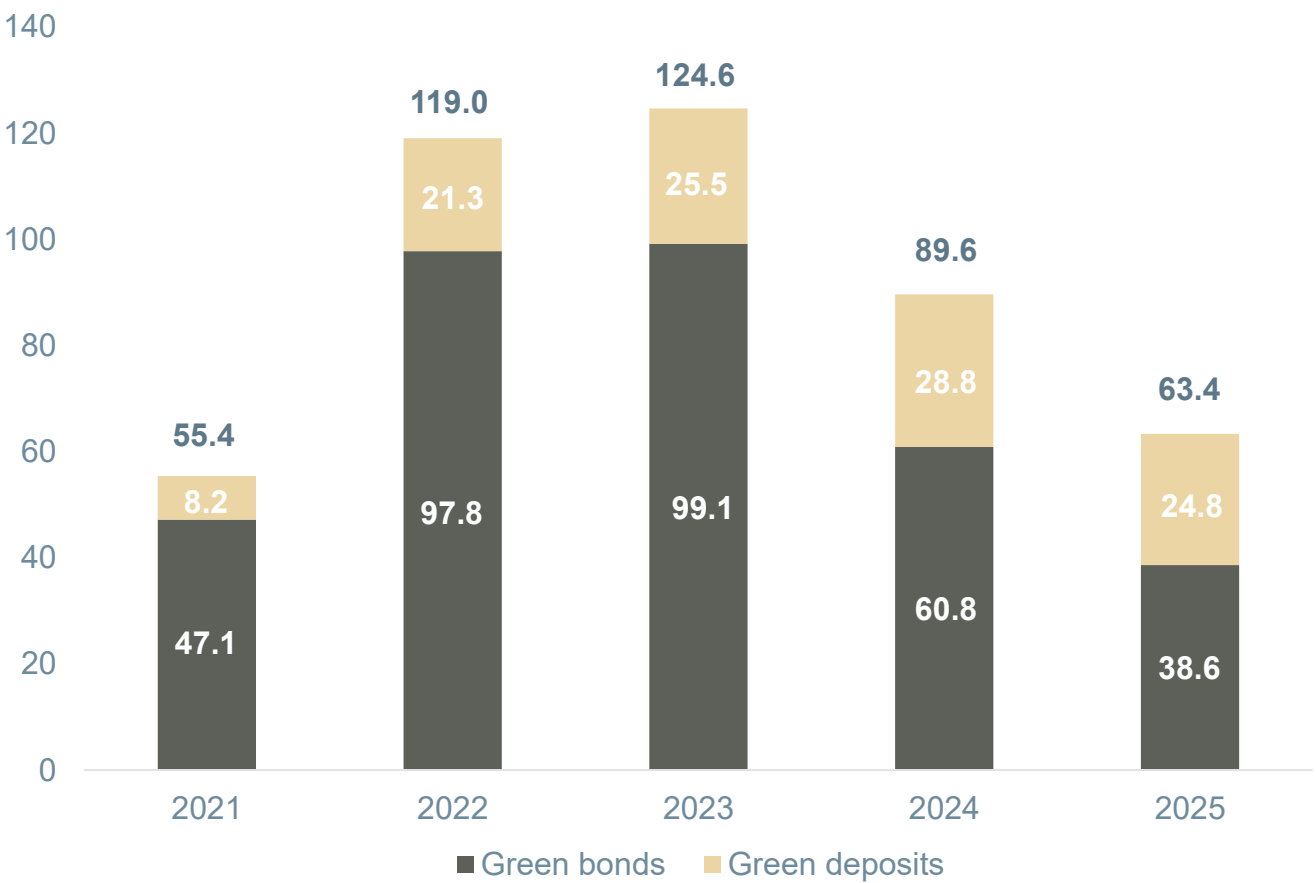


Green Deposits

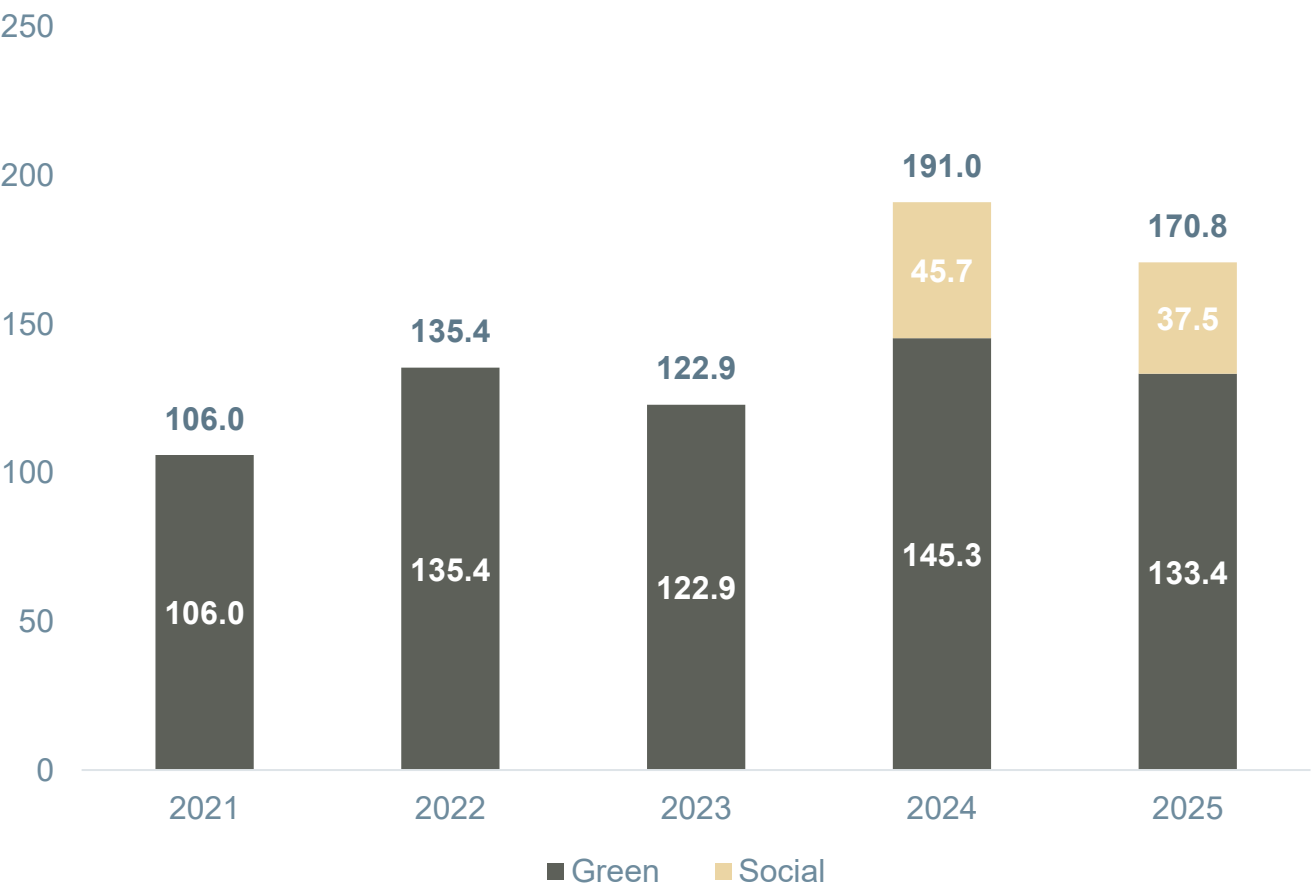
Arion Bank was the first Icelandic bank to introduce green savings through the offering of Green Deposits in 2020. Green Deposits are savings accounts designed for individuals, NGOs, and companies that want to support environmentally sustainable projects. Funds deposited are used in accordance with the Bank’s Sustainable Financing Framework to finance projects that contribute to the transition towards a greener economy. The account is a non-indexed demand account, allowing customers full flexibility to withdraw their savings at any time.

Green Deposits attract a broad customer base, with 44% of deposits coming from individuals and 56% from institutions and companies, reflecting strong engagement across both retail and corporate customers. Since the launch, Green Deposits have seen strong and steady growth, reflecting growing interest among customers in sustainable financial products. By investing in Green Deposits at Arion Bank, customers are actively contributing to positive environmental outcomes and supporting a more sustainable future.

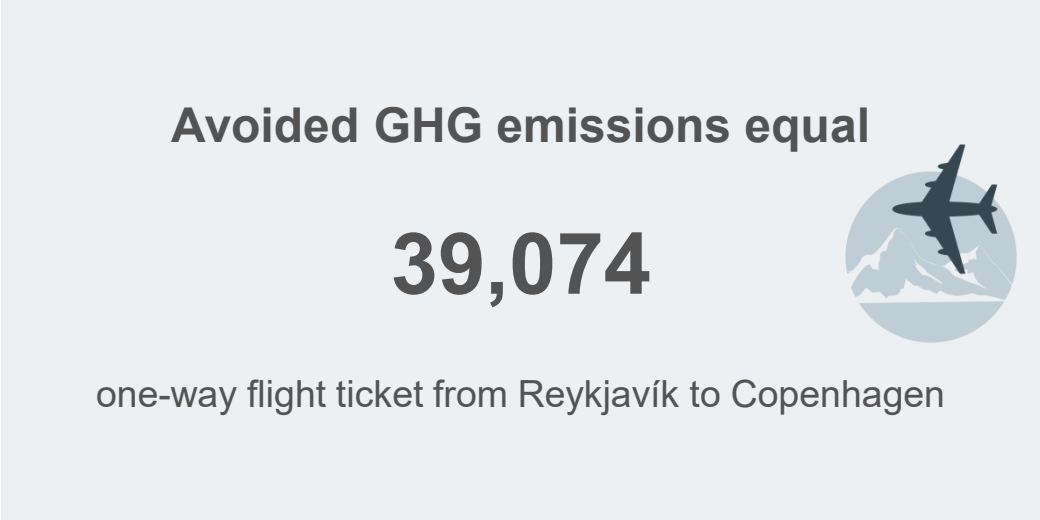
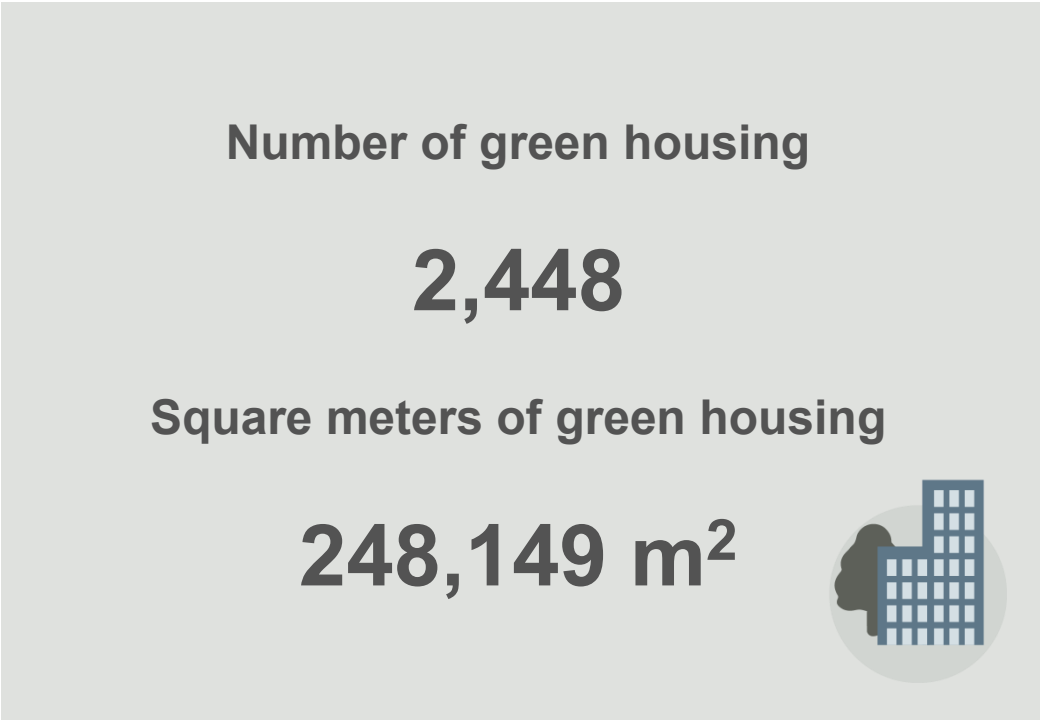
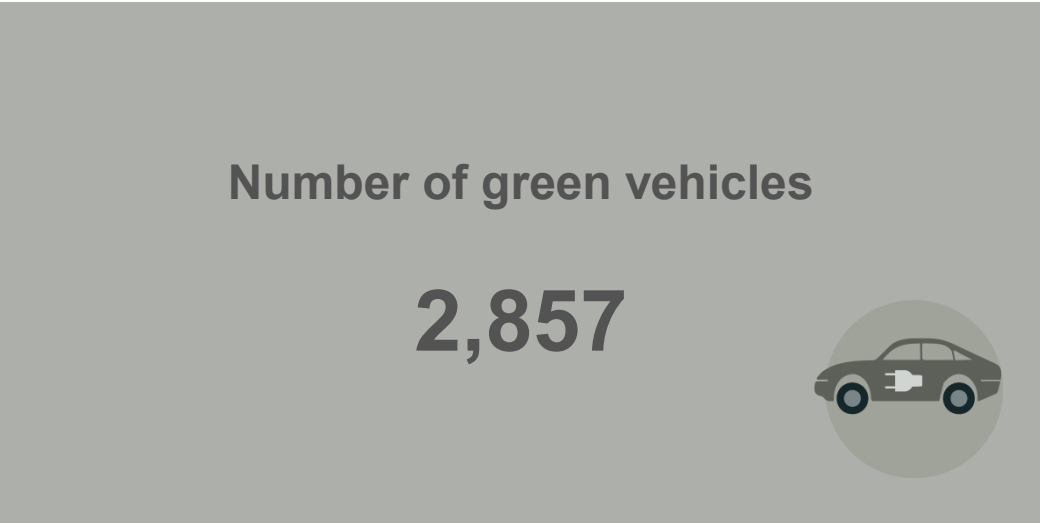
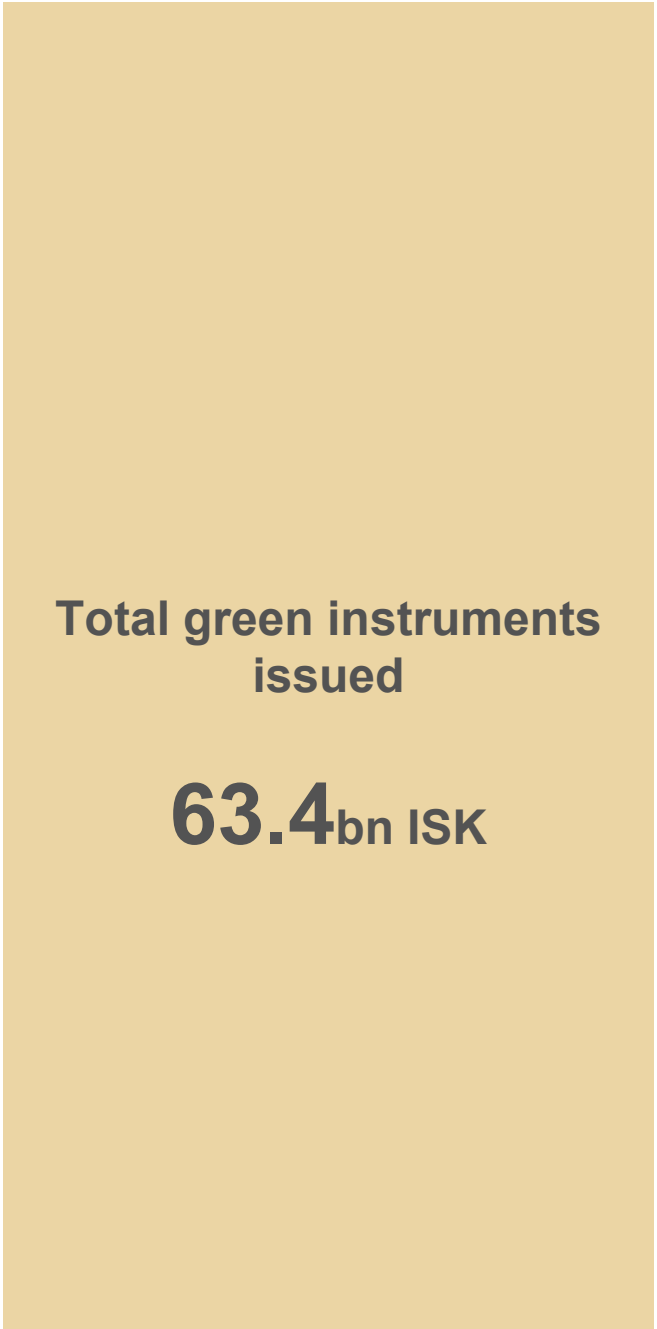
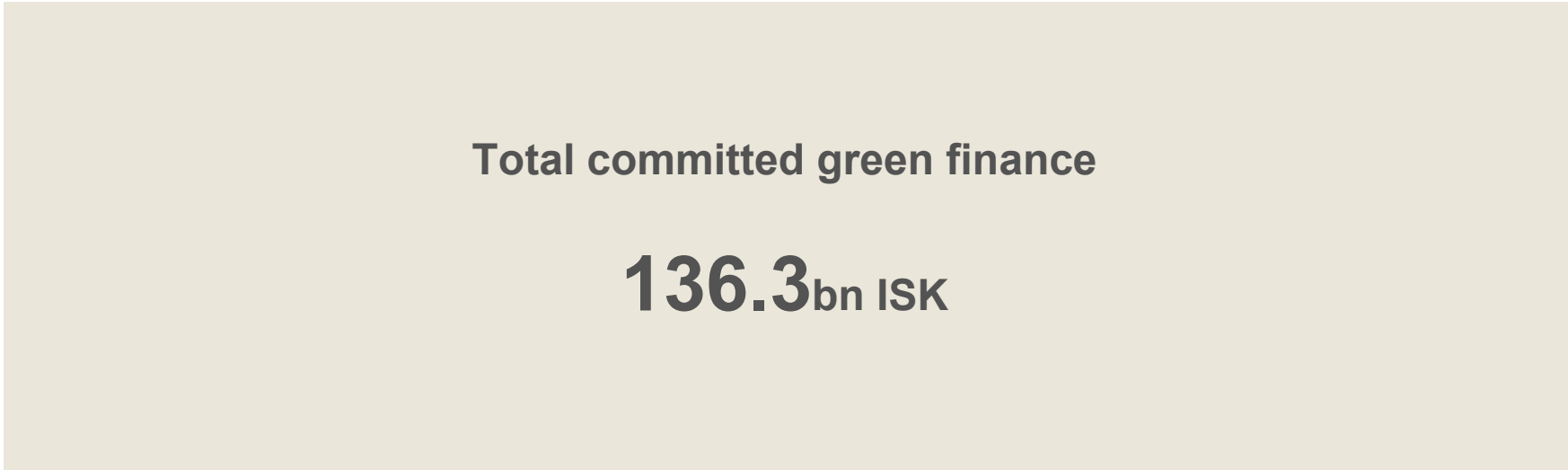
Total bond issues and deposits
ISK bn



Total book value of sustainable lending
ISK bn

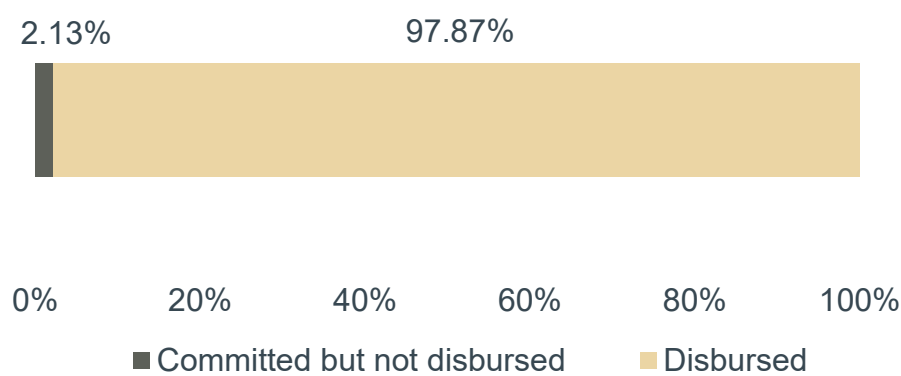


Executive summary for green financing 2025

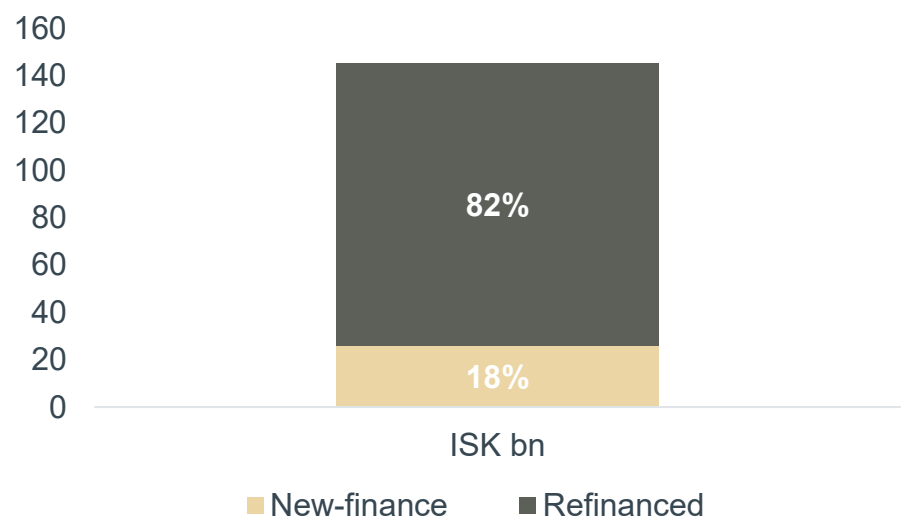


Executive summary for green financing 2025

Disbursed vs. committed but not disbursed
ISK bn

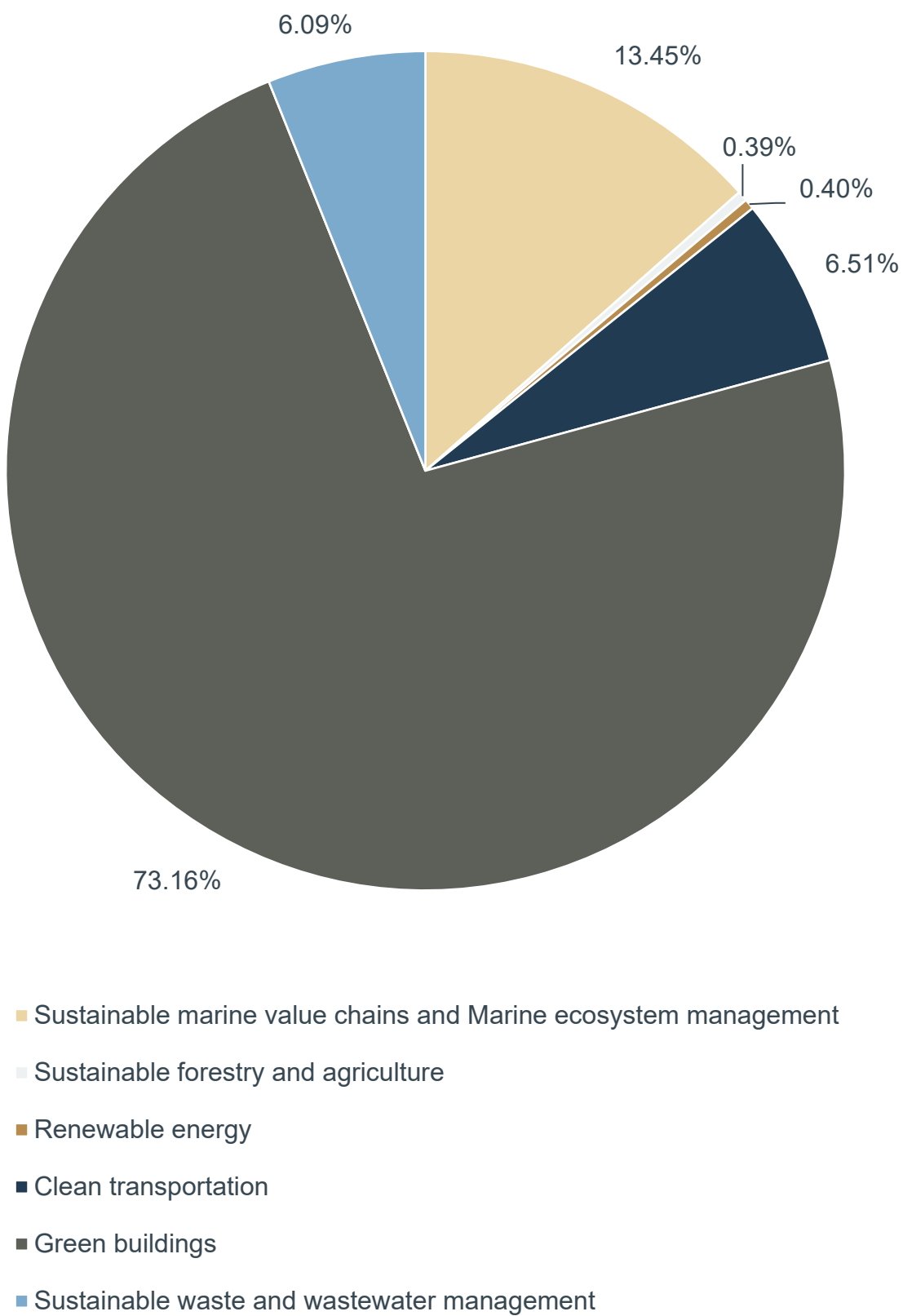


New finance vs. refinancing in 2024
ISK bn

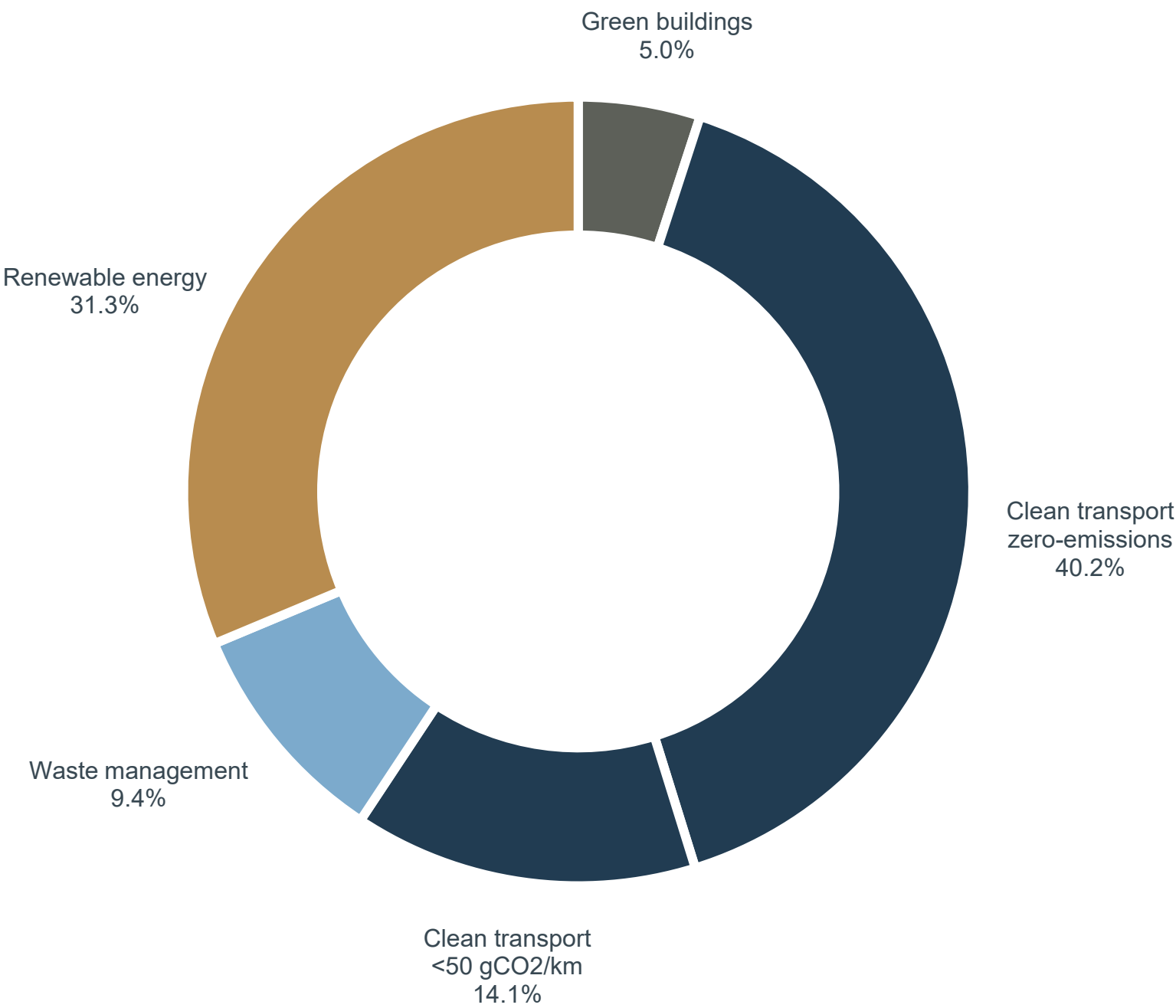


“New financing” is defined as the amount of Green Eligible Loans originated to the Eligible Portfolio in the reporting year and “refinancing” signifies Eligible Green Loans originated prior to that.

Committed green finance by category
%



Avoided greenhouse gas emissions in 2024
tCO2e



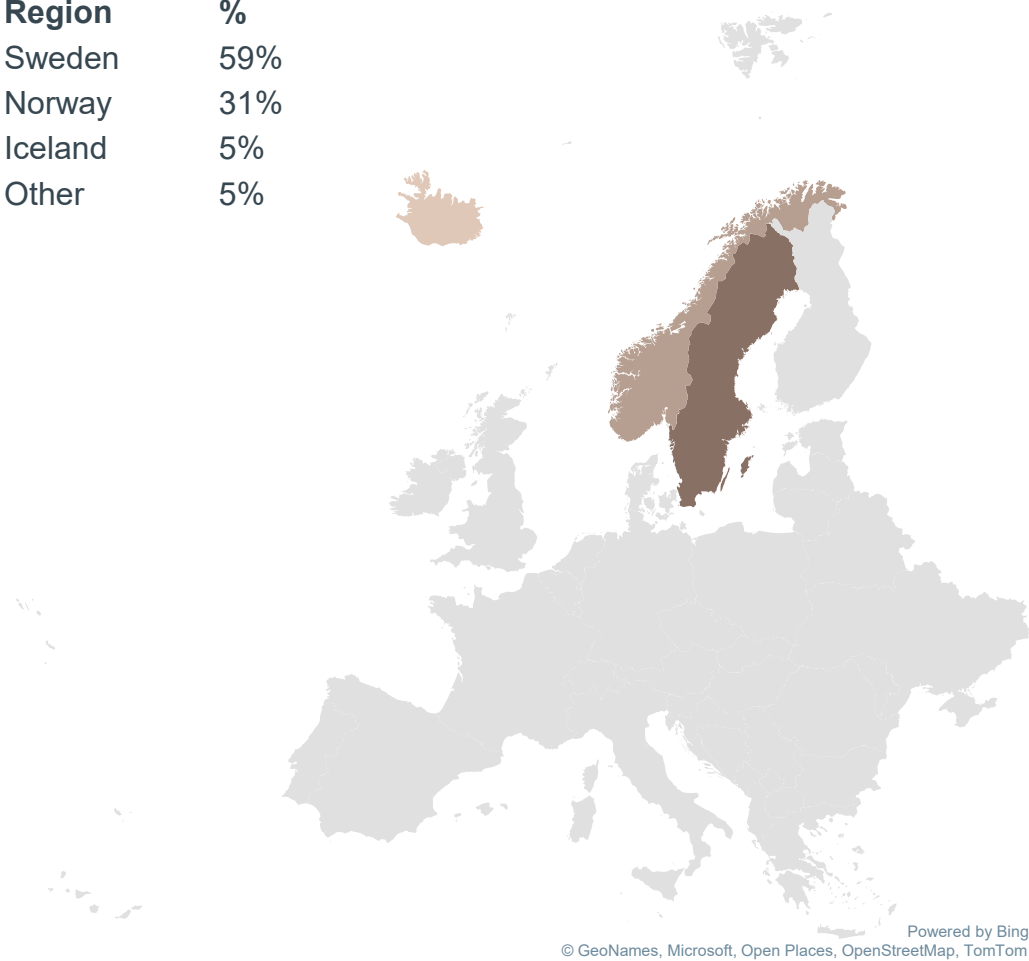
Executive summary for green financing 2025



Investor breakdown of green bonds issued in June 2025

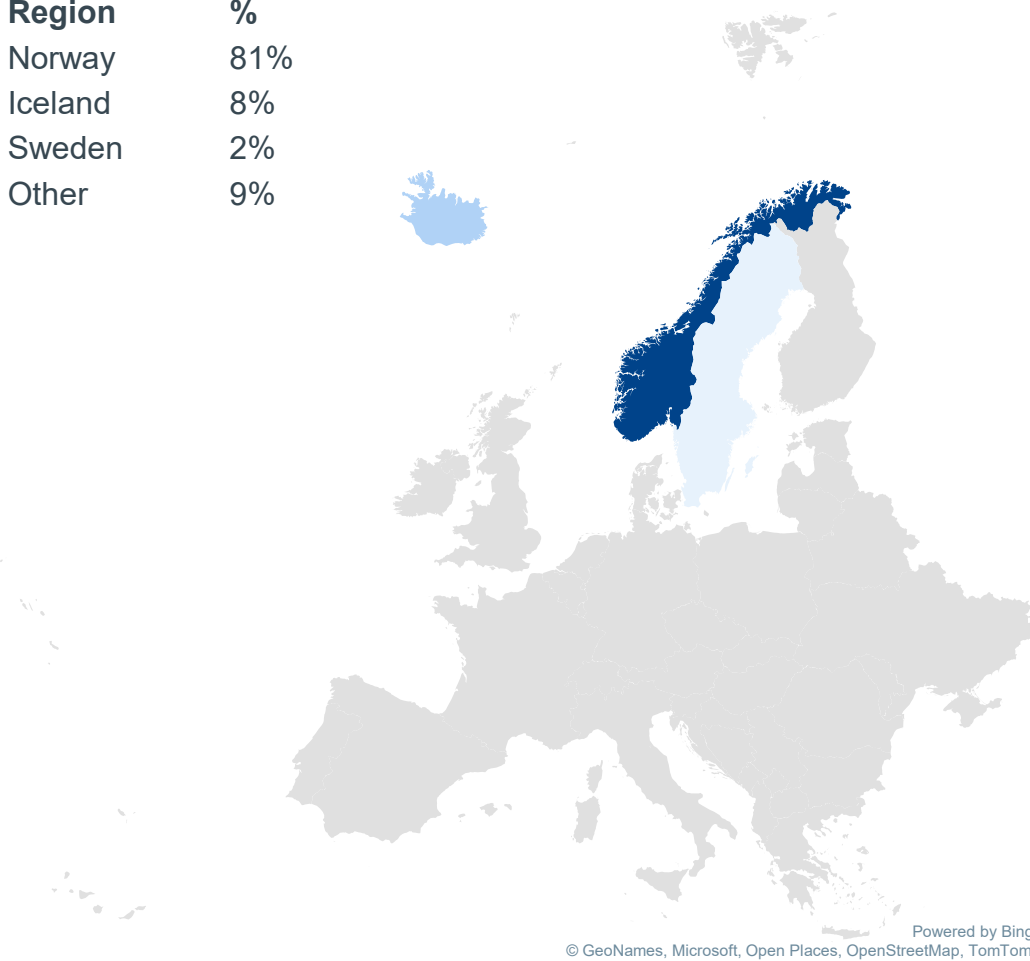
SEK 2.5Y FRN

Region	%
Sweden	59%
Norway	31%
Iceland	5%
Other	5%

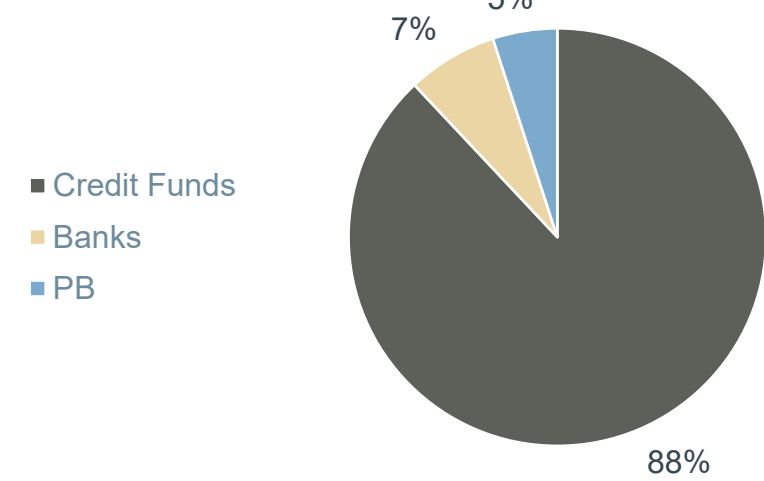


NOK 2.5Y FRN

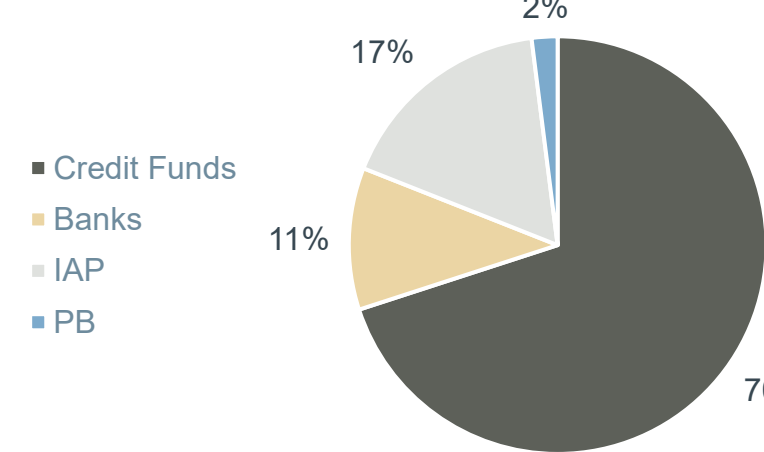
Region	%
Norway	81%
Iceland	8%
Sweden	2%
Other	9%



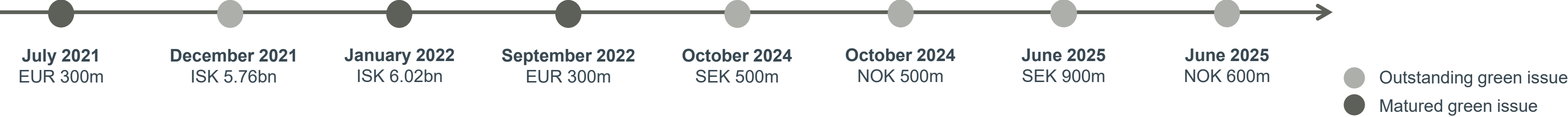
SEK 2.5Y FRN



NOK 2.5Y FRN



Green bond timeline



Impact of our green financing in 2025

									
Project Category	Sustainable marine value chains	Sustainable forestry and agriculture	Renewable energy	Clean transportation	Green buildings	Energy efficiency	Sustainable waste and wastewater management	Circular economy	Total
Disbursed amount 31.12.2025 in million ISK	18,000	534	545	8,875	97,512	-	7,914	-	133,380
Committed finance 31.12.2025 in million ISK	18,330	534	545	8,875	99,705	-	8,298	-	136,287
Annual emission avoided (tCO2e)			3,670	6,365	587		1,100		11,722
Certification	8 projects with MSC certification 1 project with ASC certification								
Installed capacity			5 MW	1,9 MW at electric charging points					
UN SDGs	 	   	 	   	 	  	   	  	

Harvested MSC and ASC certified fish

20,949 tons

Green energy produced

19,921 MWh

Recycled material

151,431 tons



“We are living at a time when it is genuinely possible to get around Reykjavík without owning a car. E-scooters are great for short trips, shared cars when you need four seats and a trunk, and taxis when you simply want to sit back, relax, and let someone else handle the traffic.”

- Kristín Hrefna, CEO of Hopp Reykjavík



Hopp car sharing

Hopp was founded on the belief that micromobility should be accessible to everyone, regardless of city size. Established in Reykjavík in 2019 by a team of software developers, the company set out to address a gap in the green mobility transition, as smaller cities were often overlooked by major micromobility providers. As a result, Reykjavík was largely excluded from the technological innovations driving more sustainable urban transport elsewhere.

Hopp is a software-driven mobility company that has scaled its platform to operate micromobility services in over 70 cities across 17 countries. While shared electric scooters remain central to Hopp’s international operations, Reykjavík serves as the company’s innovation hub. In this context, Hopp introduced its fully electric car sharing service, using Reykjavík as a living laboratory to explore how shared electric vehicles can complement existing transport systems and support more sustainable urban mobility.

Traditional car ownership is inherently resource intensive because privately owned vehicles are typically idle for most of the day, yet they require substantial amounts of energy, materials, and urban space throughout their lifecycle. Car sharing addresses this inefficiency by increasing vehicle utilization. A single shared car can replace multiple privately owned vehicles, reducing the overall size of the vehicle fleet, easing congestion, and freeing up valuable urban space otherwise used for parking.

Hopp’s car sharing fleet is entirely electric, meaning that every trip generates zero tailpipe emissions. This directly improves local air quality and contributes to lower greenhouse gas emissions from transport. In Iceland, where electricity production is almost entirely based on renewable energy sources, the climate benefits of electric mobility are particularly pronounced. Each kilometre driven with a shared electric car represents a shift away from fossil fuels towards clean, domestically produced energy.

Beyond direct emissions reductions, car sharing also supports broader behavioural change. By encouraging users to make more conscious mobility choices, shared electric cars complement public transport, cycling, and walking. Users tend to drive only when necessary, resulting in fewer total kilometres travelled compared to traditional car ownership.

As urban populations grow and climate targets become increasingly ambitious, scalable solutions that reduce both emissions and resource use will be essential. Hopp’s electric car sharing service demonstrates how innovation developed and tested in Reykjavík can inform wider deployment, combining operational scalability with measurable environmental benefits and a clear contribution to the transition toward more sustainable urban mobility.

According to the International Council on Clean Transportation (ICCT), electric car sharing can reduce greenhouse gas emissions from daily travel by up to 43% per user compared to previous travel modes.

The same research indicates that households using car sharing services reduce their total vehicle kilometres travelled by between 3% and 36%.

Furthermore, each shared vehicle can replace or delay the purchase of between 5 to 24 privately owned cars, contributing to reduced congestion and increased availability of public parking (ICCT, 2021).



Low-Emission Urban Mobility

Case study

Project category: Clean transportation



Land Restoration for Carbon Removal

Case study

Project category: Sustainable forestry and agriculture

“It’s becoming increasingly difficult to make a decent living solely from sheep farming. At the same time, farmers are sitting on some of the most valuable resources there are: clean water, land, and the ability to grow forests and capture and store carbon naturally.”

- Hilmar Gunnlaugsson, CEO of Yggdrasill Carbon



Yggdrasill Carbon (YGG)

Yggdrasill Carbon (YGG) is a land restoration company founded in Egilsstaðir in 2020. The company focuses on reversing centuries of land degradation in Iceland by re-establishing forests and restoring wetlands that play a key role in carbon sequestration, biodiversity, and soil health.

Large areas of Iceland have been subject to extensive land degradation over past centuries, resulting in soil erosion, reduced biodiversity, and the loss of natural carbon sinks. YGG addresses these challenges by implementing forestry and wetland restoration projects on degraded land. Through tree planting and ecosystem restoration, the projects contribute to long-term carbon removal from the atmosphere and help prevent future emissions.

YGG works in close collaboration with landowners across Iceland, tailoring each project to local conditions and the priorities of individual landowners. This approach ensures that climate mitigation efforts are aligned with sustainable land use and long-term land management practices.

All YGG projects undergo independent third-party certification. Carbon sequestration and emission reductions are measured using approved methodologies and verified before carbon credits are issued. One certified carbon unit corresponds to one tonne of carbon dioxide equivalent that has been removed from the atmosphere or prevented from being emitted. All credits sold by YGG are certified under the International Carbon Registry (ICR), and the company exclusively sells credits from completed and fully certified projects.

In addition to climate benefits, a central element of the projects is supporting small-scale farmers and strengthening rural communities by creating new, long-term income opportunities alongside traditional land use. Many participating landowners rely primarily on sheep farming, which often provides limited and unpredictable income despite access to valuable natural resources.

YGG finances upfront project costs, including land preparation, fencing, planting, and monitoring, thereby reducing financial risk for landowners. Income from certified carbon credits are shared with farmers, creating an additional and predictable revenue stream. This model supports rural livelihoods, enables farmers to remain active stewards of their land, and contributes to long-term environmental restoration across Iceland. The projects also support job creation in rural areas related to forest management and future sustainable harvesting.

By combining scientific research, high-quality environmental data, and large-scale implementation, Yggdrasill Carbon demonstrates how private investment can support climate mitigation, biodiversity restoration, and resilient rural communities in line with Iceland’s national climate objectives.



Frakkastígur 1

Frakkastígur 1 is a seven-storey residential building located in central Reykjavík, developed by IÐA ehf. following its successful bid in the City of Reykjavík’s competition for green development sites. The project is delivered in collaboration with s. ap arkitektar/Lendager and the construction company Arnarhvol.

The main objectives of the project were to:

- Demonstrate that the reuse of building materials is both feasible and capable of supporting high-quality architectural design, while enabling more efficient and responsible use of resources.
- Show that by calculating emissions and applying life-cycle assessments to material choices and design solutions, it is possible to significantly reduce carbon emissions while improving environmental outcomes.
- Illustrate how architectural design must be adapted to local conditions, including climate, location, and social context.
- Highlight ways in which the construction sector can respond to the challenges of climate change and address the impact of carbon emissions associated with building activities.

The building makes use of environmentally improved concrete, and the facade incorporates reclaimed road barriers sourced from Þjórsárbrú, Fnjóská, and Fífuhammsvegur. Recycled aluminium panels that would otherwise have been discarded due to surface defects were reoriented and repurposed as part of the facade design at Frakkastígur 1. Reused glass was employed in shared spaces and a communal greenhouse, sourced from glass that could not be used in high-rise developments elsewhere in the capital area. In addition, stone cladding on the ground-floor exterior was produced from bedrock excavated directly from the construction site.

The results exceeded initial expectations. The carbon footprint of Frakkastígur 1 is 55.7% lower than the current reference building defined by the Housing and Construction Authority (HMS). Through the reuse of a significant share of building materials, an estimated 72.1 tonnes of CO2 equivalents were avoided compared to the use of new materials.

Frakkastígur 1 is the first building of its kind in Iceland to be delivered under such stringent requirements for both carbon reduction and material reuse. The project illustrates how circular principles can be applied in residential construction at scale and serves as a practical reference for more sustainable urban development going forward.



“We ventured into the process without knowing in advance what materials could be reused, as this type of work depends on what is being discarded at any given time. The outcome is that the building facade is composed entirely of reused materials that have been transformed and redesigned. This is, of course, a very different process than simply ordering materials from a supplier, but it is also incredibly rewarding.”

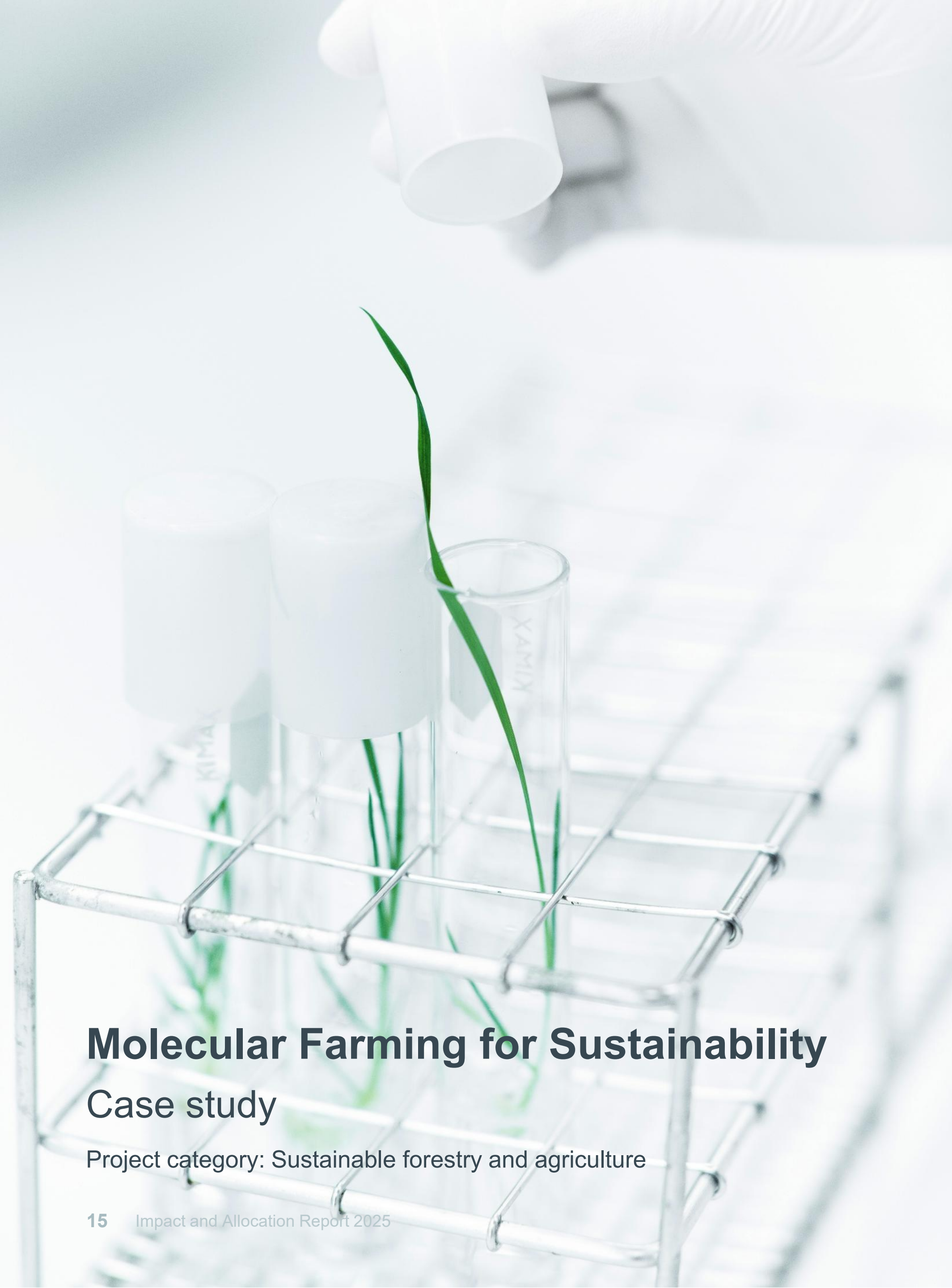
- Björt Ólafsdóttir, CEO of IÐA



Circularity in Residential Building Design

Case study

Project category: Green buildings



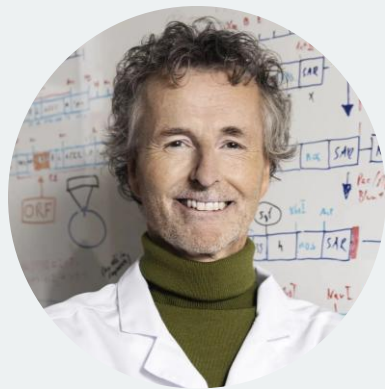
Molecular Farming for Sustainability

Case study

Project category: Sustainable forestry and agriculture

“Twenty-five years ago, when we started our journey with our novel biotechnology based on bioengineered barley plants, we realized that our innovation had great value, although in hindsight, we could not have imagined how successful and important our production platform would become. Not only in terms of our skincare brand’s success, but also our exciting new journey with animal growth factors that may revolutionize cell cultured meat development.”

- Dr. Björn Örvar, Co-Founder of ORF Genetics



ORF Genetics

ORF Genetics is an innovative Icelandic plant biotechnology company and a pioneer in the development and manufacturing of high-quality recombinant proteins using bioengineered barley plants. The company produces human and animal growth factors from the plants for applications ranging from stem cell research and cellular agriculture to skincare, contributing to more sustainable and resource-efficient biotechnological value chains.

At the core of ORF Genetics’ operations is ORFEUS, the company’s proprietary expression system, which uses barley grain as a natural bioreactor for large-scale recombinant protein production. By harnessing the plant’s natural protein-producing and storage capabilities, ORFEUS enables the production of endotoxin-free growth factors through a plant-based system that offers a safer and more efficient alternative to conventional expression platforms.

This technology has enabled ORF Genetics to develop a diverse portfolio of growth factors and consumer products, including its internationally recognized skincare brand, BIOEFFECT. More recently, the company has expanded into the cellular agriculture sector with MESOkine, a line of animal growth factors designed to support the development of cultivated meat, addressing the growing need for more sustainable protein production systems.

By combining advanced plant biotechnology with renewable energy, scalable agricultural practices, and biological containment through self-pollinating barley, ORF Genetics’ production model minimizes environmental impact while supporting innovation in health, food systems, and life sciences. The company’s approach demonstrates how circular, plant-based production technologies can contribute to climate-aligned industrial development and long-term sustainability.



Arion Bank's Exclusion List

Arion Bank has published an exclusion list of business activities which the Bank will not invest in (own investments), provide corporate advisory services to and/or finance loans to. Furthermore, the Bank will not engage in business with parties involved in activities that are illegal according to the laws and regulations of the country in which the activity takes place.

The exclusions apply to companies involved in the following activities:

- ▶ Activities that violate fundamental human rights, e.g. through slavery or forced labour.
- ▶ Controversial weapons production, i.e. landmines, cluster bombs, chemical weapons, biological weapons, and nuclear bombs.
- ▶ Companies whose main operations are based on the production of pornography or are directly connected to the production of such material.
- ▶ Companies involved in tobacco production.
- ▶ Companies generating income through gambling and/or betting, excluding activities which have been specifically licensed to do so.
- ▶ Oil exploration.
- ▶ Processing and/or extraction of fossil fuels for energy production, i.e. coal, peat, natural gas and oil.

[Exclusion List - Arion Bank.pdf](#)

Arion Bank's Sustainable Financing Framework and its Eligibility Criteria comply with the ESMA EU PAB exclusions.

Arion Bank has no exposure towards companies excluded from the EU Paris Aligned Benchmarks:

Sector	Exposure ¹
Coal & lignite	0
Oil fuels	0
Gaseous fuels	0
Electricity producers ²	0

¹Of which exposures towards companies excluded from EU Paris Aligned Benchmarks (EU PAB) in accordance with points (d) to (g) of Article 12.1 and in accordance with Article 12.2 of Climate Benchmark Standards Regulation. Further information can be found in the Bank's Pillar 3 Risk Disclosures.

²Electricity producers include where electricity emits more than 100g CO₂e/kWh.



Reporting methodology

The impact reporting draws on [ICMA Harmonised Framework for Impact Reporting \(2024\)](#) and the recommendations of the [NPSI Position Paper on Green Bonds Impact Reporting](#). The report seeks to communicate and inform about the impact of financed projects based on available data.

The case studies selected for this report have been chosen for their ability to illustrate projects that meet the criteria for green classification under Arion Bank's Sustainable Financing Framework, demonstrating the environmental objectives and impact intended by the framework.

Calculation methodology

Clean transportation

- Annual impact is calculated based on the assumption that alternative fossil fuel vehicles are replaced by electric vehicles (EVs): number of vehicles in the fleet added each year × average yearly EVs mileage × average GHG emissions from comparable fossil fuel vehicles. EVs charged in Iceland are assumed to have zero emissions due to renewable energy (location based).
- For plug-in-hybrid EVs with emissions under 50gCO₂/km calculations are carried out under the assumption that the vehicles emit the maximum permissible values. Results therefore show the minimum avoided emissions in this category.

Green buildings

- Green buildings are defined as such if they are among the top 15% carbon efficient buildings in Iceland from a life-cycle perspective.
- Mean carbon emissions per m² were calculated for green residential buildings in Arion Bank's portfolio as well as non-green residential buildings. Emissions avoided were calculated by taking the difference between the carbon footprint of the green buildings if they had the same average emissions per m² as the non-green buildings and the actual emissions (based on mean emissions per m²).

Renewable energy

- The indicator used is the installed capacity in MW.
- Data on produced green energy in 2025 is reported in MWh. All qualifying assets were operating and generating energy during the reporting period.
- Avoided emissions were defined as carbon emission savings by producing the energy amount in hydro-power and wind-power production respectively, as compared to baseline CO₂ emissions for electricity. The reference value used is the Combined Margin emission factor, based on IFI Harmonized Framework and set forth in Nordic Public Sector Issuers Position Paper on Green Bonds Impact Reporting, published in March 2024.

Pollution prevention

- Indicator used is the quantity of recycled material (tonnes per year).
- One loan was to a private recycling facility that specializes in the recycling of plastic waste. The customer had carried out an LCA where recycled plastics were compared to being shipped abroad and recycled in other European countries (2018). The results were used to assess the impact in 2025.

Key reporting principles

- Arion Bank reports on a portfolio basis, Icelandic króna (ISK).
- Currency rates are as per 31 December 2025.
- Reported impact is based on amounts disbursed and outstanding to a project.
- Projects that have not disbursed any funds are not calculated into impact reporting and the outstanding amount on these projects is reported as 0 ISK.
- The same applies to projects that are still in implementation and therefore do not have any measurable impact.
- The impact evaluations in the report are based on expected environmental impact (ex-ante) from financed projects.
- Arion Bank uses ex-ante impact estimates based on information provided by customers and on information available to the Bank from official public data sources.
- The impact evaluation includes both qualitative and quantitative impacts.
- The reporting period ends on 31 December 2025, taking into account new withdrawals and repayments.
- Arion Bank uses a pro-rata allocation to each outstanding bond.
- The Bank is constantly reviewing its reporting methodology in line with the latest standards and is open to feedback regarding this.



Independent Auditor’s Assurance Report

To the Management and the stakeholders of Arion Banki hf.

We have been engaged by Arion Banki hf. to provide limited assurance on the allocation of net proceeds from Sustainable Financing Instruments as disclosed in Arion’s Impact and Allocation Report 2025. The allocation is made according to Arion’s Sustainable Financing Framework from August 2024, which is based on the Green Bond Principles, the Social Bond Principles, the Guidance for Blue Finance and the Sustainability Bond Guidelines published by the International Capital Markets Association (ICMA) and the Green Loan Principles as well as Social Loan Principles published by the Loan Market Association (LMA).

Our engagement was performed in order to evaluate:

- If disbursed amount of net proceeds from Sustainable Financing Instruments are used to finance projects that meet the criteria of the Bank’s Sustainable Financing Framework, as shown on page 11 in the Impact & Allocation Report.

We express a conclusion providing limited assurance.

Management’s responsibility

The Management of Arion Banki is responsible for collecting, analysing, aggregating, and presenting the information in the report, ensuring that the information is free from material misstatement, whether due to fraud or error.

Our independence and quality control

We have complied with the independence and other ethical requirements of the Code of Ethics for Professional Accountants (IESBA Code), which are based on the fundamental principles of integrity, objectivity, professional competence and due care, confidentiality, and professional behaviour.

Deloitte ehf. is subject to International Standard on Quality Management (ISQM) 1 and, accordingly, applies a comprehensive quality control system, including documented policies and procedures regarding compliance with ethical requirements, professional standards, and applicable legal and regulatory requirements.

Auditor’s responsibility

Our responsibility is to express a limited assurance conclusion on the allocation based on the Sustainable Financing Framework, presented in the Impact and Allocation report for 2025. We have conducted our work in accordance with ISAE 3000 (revised), Assurance Engagements Other than Audits or Reviews of Historical Financial Information, to obtain limited assurance about our conclusion. In accordance with the standard, we have planned and performed our work to obtain limited assurance about whether Allocation information is free from material misstatement.

A limited assurance engagement is less in scope than a reasonable assurance engagement. Consequently, the level of assurance obtained in a limited assurance engagement is lower than the assurance that would have been obtained had we performed a reasonable assurance engagement. Considering the risk of material misstatement, we planned and performed our work to obtain all information and explanations necessary to support our conclusion.

We performed reviews of data, reviews of the underlying data processes as well as interviews with those responsible for producing the data. Our work has included interviews with key functions in Arion, inquiries regarding procedures and methods to ensure that the allocation of funding is in accordance with the guidelines within Arion’s Sustainable Financing Framework. We have assessed processes for gathering, consolidating and aggregating the data at Arion, and performed analytical review procedures and tested data prepared against underlying documentation.



Conclusion

Based on the procedures we have performed and the evidence we have obtained, nothing has come to our attention that causes us to believe that Arion Bank’s net proceeds from Sustainable Financing Instruments and its allocation to loans for the year 2025 under the criteria of the Sustainable Financing Framework, is not prepared, in all material respects, in accordance with the Sustainable Financing Framework.

Kópavogi, 22 April 2026

Deloitte ehf.

Steina Dröfn Snorradóttir
State-Authorised Public Accountant

